

August 25, 2025

Vanessa Countryman, Secretary
Securities and Exchange Commission
100 F Street, N.E.
Washington, D.C. 20549

Re: File Number 4-862, Roundtable on Trade-Through Prohibitions ("Roundtable")

Dear Ms. Countryman:

Thank you for the chance to comment.

The Roundtable is at least the third broad discussion about Reg NMS Rule 611 the SEC has hosted in the last 10 years. The first was the inaugural Equity Market Structure Advisory Committee ("EMSAC") meeting in May 2015,¹ and the EMSAC took it up again in 2017.² In those sessions we heard several complaints that Rule 611 caused market fragmentation and complexity, familiar concerns since Reg NMS launched in 2007. We also heard that Rule 611 was one of the SEC's most successful pro-competitive interventions, with several participants attributing to it the retreat of one of the most dominant and resilient monopolies in American history. I argued in a May 6, 2015 comment to EMSAC, and again in a March 29, 2017 comment, that repealing or curtailing the trade-through rule would be anti-competitive, and would *increase* complexity, subsidize high speed middlemen, and hurt investors. These consequences of repeal or curtailment are still likely, and I've attached my May 2015 EMSAC comment to this letter.

Since 2015

I'll start with what's happened since that first EMSAC. Despite protests that Rule 611 drives market fragmentation, in 2015 there were 11 exchanges and about 40 ATSs trading NMS stocks, or a total of roughly NMS 50 marketplaces, and today there are 16 exchanges and 33 ATSs trading NMS stocks, or a total of roughly 50 NMS marketplaces.

A little history of these marketplaces is helpful. Reg ATS went effective in 1998, and from that point forward ATSs launched at a steady average of about 3.3 per year until the mid-2010s. In other words, from well before Reg NMS until well afterward, ATSs came online at a fairly steady pace, so that by the mid-2010s there were 40 or so. We can look back and see now, however, that at some point in the mid-2010s the number of Reg ATSs trading NMS stocks stalled and then started drifting lower. That reversal could have been because of the dark pool enforcement settlements of that day, or because of Reg ATSN, or because of some other factor (one of which I'll get to below).

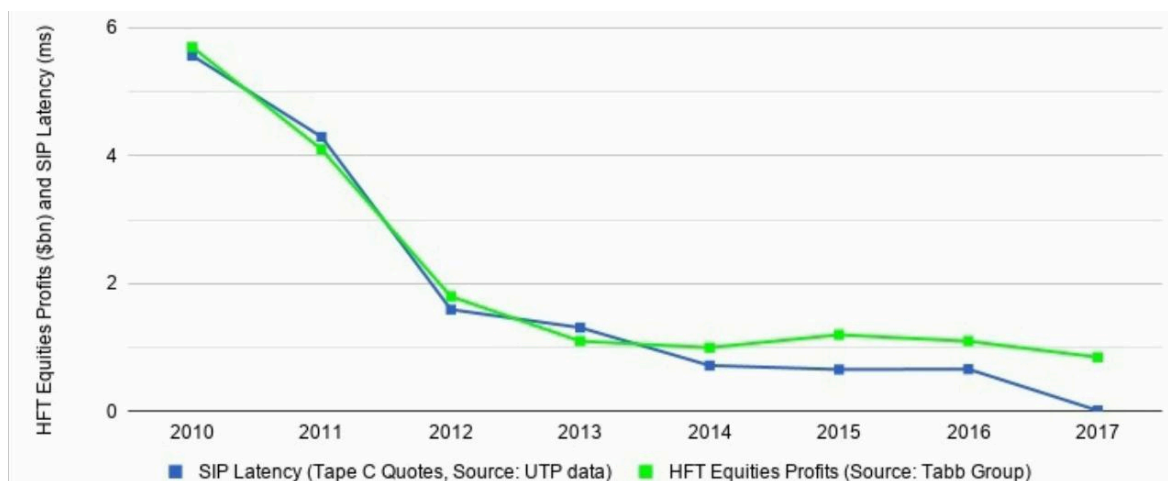
As for exchange fragmentation, when Reg NMS launched in 2007 there were 10 operating exchanges, and by 2015 there were all of 11. Since 2015 we've added five exchanges. National turned on and off and on again, IEX came online, and then in one big bang in September 2020 LTSE, MEMX, and Pearl launched. If Reg NMS is responsible for exchange fragmentation, I've looked high and low for an explanation of why it waited more than a decade until 2020 to get anything meaningful done. A number of other exchanges are now on deck. A curiosity about some of these new exchanges is that they seem to me to exist mainly to make a point about their listings. I'd put Texas and the Green Impact Exchange into a category of virtue-signaling exchanges ("VSE") along with LTSE, and I can't see any link between their passions and Reg NMS.

While the total NMS marketplace count has held steady in the last decade, already by 2015, and more so since, we've seen a number of "liquidity providers" disappear, so that the high speed market making

¹ See Equity Market Advisory Committee May 13, 2015 meeting transcript, available at <https://www.sec.gov/spotlight/emsac/emsac-archives.htm>.

² See Equity Market Advisory Committee April 5, 2017 meeting transcript, available at <https://www.sec.gov/spotlight/emsac/emsac-archives.htm>.

industry is concentrated in fewer hands, something Reg NMS critics also attribute to it. I'd attribute it instead, in large part, to how a significant business model in that industry stopped working. The business model was latency arbitrage. Beginning in about 2011 through the mid-teens, and thanks to vocal market reformers, the SIPs sped up by a factor of almost 50, smashing annual profits for predatory high speed, high frequency trading ("HFT") firms masquerading as "liquidity providers." Investors saved \$1 billion for every millisecond:



In the aftermath of this profits carnage, a fair number of these firms were sold for scrap.³ For the Gen Zers out there who were in high school when it happened, a common latency arbitrage model relied on the nearly instantaneous proprietary data feeds exchanges sold to pick off investors who relied on the much slower SIP data, a practice which once flourished in dark pools. Michael Lewis's *Flash Boys* has an excellent description of the scheme.⁴ As the SIPs sped up, that predatory business model collapsed. It seems likely this also contributed to the stall and decline of ATSS those "liquidity providers" used as hunting preserves. I'll also note that some parts of the industry have tried repeatedly to reinsert time advantages for high speed firms since then.⁵ They've done it in a sequence of rule filings I've described as market structure's own *Chucky* franchise.⁶ The latest example of this is a market regulator which recently proposed one of the most cynical regulatory arbitrages I can remember, and if approved I estimate could cost investors millions every year.⁷

Market maker consolidation was also inevitable because of another "liquidity provider" business model. Market makers oversize their advertised interest across dispersed marketplaces. As it evolved from the late 1990s, the market making business model came to include quoting on as many as a dozen or more different markets, and when one quote was hit, a race to fade the other quotes. A firm might want to trade no more than 1,000 shares at a time, but it doesn't know where it will find a contra, and its eyes are bigger than its stomach. So it posts that 1,000 shares on any number of markets, advertising even 10,000 or more shares at once, though it intends to trade only 1,000. If the firm is hit at any one of those markets, it pulls its other quotes.

³ See letter from R. T. Leuchtkafer, "The HFT industry will never admit the truth," *Financial Times*, January 8, 2018, available at <https://www.ft.com/content/ac094df6-f180-11e7-ac08-07c3086a2625>.

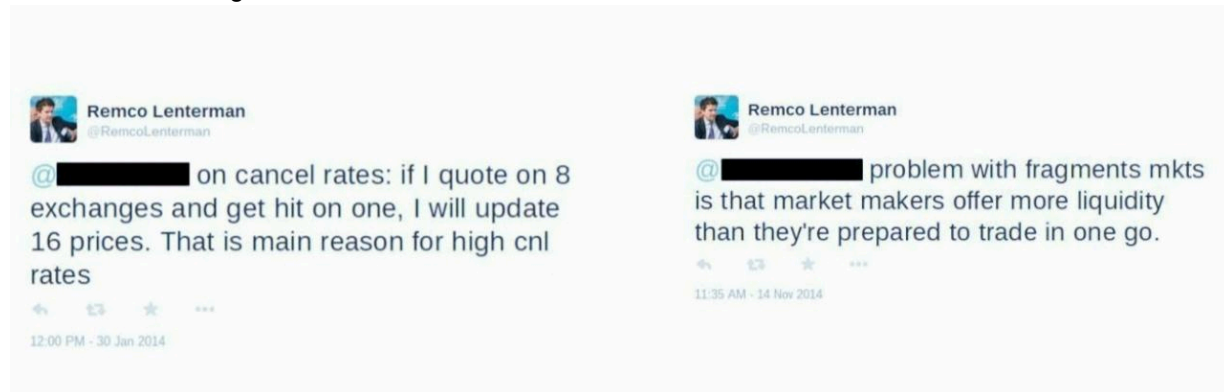
⁴ In 2018, Chris Concannon, then President and COO of Cboe Global Markets, commented that *Flash Boys* had been a significant catalyst of proprietary exchange data feed sales because ATSS and routing brokers realized they needed to have them.

⁵ See File SR-CHX-2016-16, File SR-CHX-2017-04, File SR-CboeEDGA-2019-012, and File SR-FINRA-2022-032.

⁶ See letter from R. T. Leuchtkafer, May 6, 2025, available at <https://www.sec.gov/comments/sr-finra-2022-032/srfinra2022032.htm>.

⁷ See File SR-FINRA-2022-032 and letter from R. T. Leuchtkafer, May 6, 2025.

Here are some insights into that business:⁸



It's easy to see how this behavior is profoundly anti-competitive. When all a firm wants to trade is 1,000 shares at a price, the firm could post 100 shares on each of ten exchanges. If it posts only 100 shares at a market, though, a contra at that market is much more likely to exhaust the firm's quote and trade with its competitors. It could also post 1,000 shares on only one exchange, or 500 shares each on two exchanges. If the firm isn't on all exchanges at once, however, it might miss a contra, and that contra will trade with its competitors. By posting a full 1,000 everywhere it's able to, the firm takes the biggest bite it can and then rushes to fade everywhere else. Since fading successfully depends on speed, firms spend whatever it takes to be fast. The effect is that smaller competitors on any given market are squeezed out in a spoofing game, and the marketplace becomes dominated by a handful of large high speed firms with the resources to win the speed arms race.

As for market centers, this behavior also sustains market fragmentation. If market makers posted no more than their bona fide interest and cut back where they quoted as a result, perhaps we wouldn't have so many lit markets, including the once and future VSEs, and perhaps exchange groups would finally consolidate at least some of their many order books. When a new exchange spins up today, if it can convince a large market maker to add it to the firm's roster, it's in business. That exchange hasn't brought any new capital to the NMS, it's just become a co-conspirator in an anti-competitive farce the SEC continues to tolerate, and added to the homogeneity and fragility of lit market liquidity.

Rule 611

Critics are absolutely correct that Reg NMS laid down prescriptive rules for intermarket behavior in the National Market System, and threw in a bucket of government rate-making to boot. As Commissioners Glassman and Atkins said in their dissent at the time, the SEC justified all that with the "selective use of statistics" - I wouldn't have been as polite about it - and without first running pilots or trials to test the new rules. The SEC also never seemed to give much thought to how the Nasdaq OTC marketplace evolved after Reg ATS and the Order Handling Rules opened markets to sharp and creative competition. Evolution in the OTC market was a fine example of how competition made markets better. Already by Reg NMS approval in 2005, the entrepreneurs of that day created the price/time matching, best price routing model our public markets use now, and they did it without prescriptive regulations or government price caps. Along with industry-wide automation and long overdue stock price decimalization - which those entrepreneurs, among others, begged for - trading frictions, waste, and rents plummeted, reducing even large block transaction costs to a third or less of what they were. OTC markets became more transparent, accessible, and competitive than they had ever been in the US. Every kind of investor - large or small, short- or long-term - gained. These are just the facts and I'll fight anyone who says different.

⁸ At the time of these tweets Remco Lenterman was a senior executive of IMC and the chairman of the FIA European Principal Traders Association, a lobby group for high frequency traders. IMC described itself then as "a leading market maker, active on over 100 exchanges, platforms and pools of liquidity around the world" and "a leading Designated Market Maker (DMM) on the New York Stock Exchange (NYSE) providing liquidity in over 600 NYSE listed securities."

We'll never know if the exchange-listed marketplace at the time could have done the same on its own. It might have, though it would have taken longer, and even a lot longer.⁹ The exchange-listed market was very different from the Nasdaq OTC market. It had different formal and informal competitive barriers to break through, different kinds of regulatory power to enforce those barriers, and different kinds of regulatory capture to hold off reforms. We shouldn't forget how bitterly incumbents fought to maintain the status quo. One competing marketplace even published songs about some of those problems.¹⁰

Just as important, however, we'll also never know if the Nasdaq marketplace would have *regressed* without Reg NMS to keep a competitive price/time matching, best price routing model alive, particularly as the ECNs of the day were swallowed up by incumbents and Nasdaq became an exchange. Precisely because of regulatory power imbalances between market centers and participants, and the conflicts and concentration of that power and an evident willingness to use it for commercial ends over the years, the question deserves more attention than it's got. I believe Rule 611 (and 610) has been one of the most effective checks on these shenanigans in modern memory.

What turned me into a fan of both Reg NMS's Rule 610 and Rule 611 was the speed with which the listed market became much more competitive and accessible after Reg NMS launched, and that it's stayed fiercely competitive and accessible for almost 20 years. Though parts of the SEC's Reg NMS approval order were intellectually dishonest and Rule 610 and 611 were untimely ripped from regular order - every criticism of all that a lesson - their favorable effect on the political economy of the National Market System has saved investors billions. Because of Reg NMS, exchange realpolitik has been and will stay constrained by the simplest principle, that in the ordinary course investors deserve the readily available best price from whoever has it, and that exchanges, for all their privileges under the law, have to comply. To attribute to Reg NMS some of the problems we've seen since is understandable but mistaken, and lets industry off the hook for its own cunning.

Attached is a copy of my 2015 EMSAC comment letter. It covered these topics:

- Best execution rules were gamed and are gameable;
- Elective routing enabled exchange monopolies;
- Reg NMS is a pro-competitive regulatory intervention;
- Market fragmentation and complexity predate Reg NMS and do not correlate with its implementation;
- Rule 611 repeal or curtailment will increase complexity;
- Rule 611 repeal or curtailment is a subsidy to market intermediaries.

Sincerely,

R. T. Leuchtkafer

⁹ One EMSAC member however didn't think the listed marketplace could have done the same. The Chairman of BATS said in the May 2015 session, "Basically, you had a monopoly, and then you didn't have a monopoly. And the stated objectives of the SEC is to balance competition between venues and competition between orders, and 611, I think, did both of those. And the fact is that BATS probably wouldn't be here today. We would not exist had it not been for 611. There would still be a monopoly and there'd still be a manual floor and you would not have competition among venues if you didn't have 611." He went on to say "The markets might continue to promote competition without it today because competition has been inserted," which might explain why he had petitioned the SEC in January 2015 to deprive his smaller competitors of trade-through protection and NMS plan market data revenues. Or it might have simply been that they got theirs from the trade-through rule and everything's peachy, so turn it off for the little guys and let them fend for themselves.

¹⁰ See "Joey the Specialist," Electronic Naturals, published by Archipelago LLC, 2002. A sample verse, "Joey the specialist works on the stock exchange floor. I used to think he was working for me but I don't anymore. He's got a million excuses he's been saving up. I wonder what information he's got covered up. I just can't rely on the word of a guy named Joey."

May 6, 2015

Brent J. Fields
Secretary
Securities and Exchange Commission
100 F Street, NE
Washington DC

Re: SEC Equity Market Structure Advisory Committee, File No. 265-29

Dear Mr. Fields:

Thank you for the chance to comment on the Equity Market Structure Advisory Committee ("Advisory Committee"). My comments will be about the agenda for the first session of the Advisory Committee, a discussion of Rule 611 on May 13. I look at the proposed agenda within the context of rising calls from some segments of the industry to allow locked and crossed markets and trade-throughs in National Market System ("NMS") stocks. High frequency trading firms and their caravans have been particularly loud here, with recent entreaties from an exchange group, a lobbying group, and a variety of high frequency firms to repeal Rule 610 and Rule 611, or to change the definition of a protected quote to exclude a number of displayed market centers. It's as if sometime last year someone blew a whistle and everyone came running, including, strangely enough, the Advisory Committee.

It's strange because on the fifth anniversary of the 2010 Flash Crash (Happy anniversary!) I can think of lots of topics in the public interest the Advisory Committee might want to discuss. We're all relieved we haven't had another broad-based \$1 trillion crash in the equities markets, but we have seen sector-based indexes flash crash, and we've seen commodities, interest rates, foreign exchange, and overseas markets flash crash. After the 2010 crash, the Joint CFTC-SEC Advisory Committee on Emerging Regulatory Issues ("Joint CFTC-SEC Committee") came out with a list of recommendations for reforming the country's stock markets to prevent these crashes, and a review and discussion of those recommendations would have been a useful way for the Advisory Committee to begin work. The Advisory Committee could even take on the very latest development, Navinder Singh Sarao's spoofing arrest and the government's allegation he contributed to the Flash Crash. A futures exchange apparently knew about Sarao and didn't do much to stop him. It would be nice to know what the equities markets do about spoofing.

If those don't excite, another topic an advisory committee might want to talk about on this anniversary is applying Reg SCI to all firms with direct access to the NMS. After all, SEC officials have attributed at least some single-stock flash crashes to poor firm controls, and the roster of firms regulators have sanctioned and fined for poor technology controls over the last few years reads like an FIA Principal Traders Group ("PTG") membership list. Just the other day a group of regulators from around the world, including lots of central banks and the SEC itself, issued a report saying "unexpected events linked to algorithmic and high-frequency trading have caused significant volatility and market disruption..." and "The immediate need for stronger controls is paramount."

But these topics didn't make the cut for the Advisory Committee's inaugural meeting, scheduled for a week after the Flash Crash's fifth anniversary. Apparently the most pressing equity market structure issue is Rule

611, which is just industry shorthand for repealing Rule 610 and Rule 611, eliminating the ban on locked and crossed markets and allowing trade-throughs. That this is what some exchanges and the PTG want to discuss isn't surprising. What surprises is that the Advisory Committee agreed to it, not only because other topics are more urgent to the public interest, but because repeal will be a huge gift to high frequency firms and will be profoundly anti-competitive. Five years ago the Joint CFTC-SEC Committee, made of current and former regulators, economists, Nobel laureates, and other industry dignitaries, recommended *depth* of book protection. Next week this new advisory committee will seriously consider *no* book protection at all.

Thank you

Of course, we already know what the world will look like without Rule 610 and Rule 611. Until Reg NMS, the exchange-listed markets were governed by the Intermarket Trading System ("ITS") plan. The plan generally prohibited locked and crossed markets and trade-throughs. Those prohibitions had been in effect for decades. A public policy choice going back to the 1975 amendments, Congress wanted investors to get the best prices available in the marketplace no matter which exchange posted them. But the ITS plan rules were routinely ignored by some exchanges. Those exchanges didn't want to give up their liquidity to competitors, so they all-too-often ignored their obligations.

As a consequence, trading market share among the many stock exchanges in the country stayed very unevenly distributed, with some exchanges having near-monopolies in their own names for decades. Legend has it that when a regional exchange like Boston or Philly used ITS to complain to a major listing exchange that it had traded through, a frequent reply over the ITS network was simply "Thank you," which really meant something far more vulgar and dismissive than "Thank you." That's how you killed off competition.

Whatever ITS mandated, exchanges could do what they liked, and they did. As a result incumbents maintained near-monopoly market share in their listings and competition faced significant barriers to entry. Yes, customers didn't always get the best available prices, but if a customer complained the exchanges gave one excuse after another, or just ignored the customer altogether. Brokers had best execution obligations, but those could be turned into weapons against them. Some exchanges visited their members and said something along the lines of "Nice best execution requirement you have there. Be a shame if you had a problem with that." and strongly implied best execution really meant keeping their order flow at home no matter what other exchanges quoted.

With that as background it's no surprise to see a large exchange group petition the SEC to redefine protected quotes with little more justification than that these rules introduce too much "complexity" into markets. Perhaps a complexity monster is enough reason. After all, that exchange group found its own IPO quite complex. Or perhaps it hopes for better market share by keeping more of its liquidity at home, at the expense of its competitors. That will come at the expense of investors too, who will no longer be guaranteed the best prices in the market, and who will be left to whatever becomes of best execution rules no matter how they might be interpreted or gamed. Without protected quotes, without Rule 610 and Rule 611, exchange incentives too easily revert to what they were in the ITS days. Quote competition is how exchanges attract business today, but that can metastasize to strong-arming members, in whatever ways an exchange can dream up, to game best execution rules and keep all their orders on the exchange. Any erosion of Reg NMS risks warping market center incentives and behavior and will be profoundly anti-competitive.

Like some in the industry, the petitioner complains that Reg NMS is a regulatory "subsidy" for smaller market centers. But almost a decade ago that petitioning exchange group took off from a Kansas City storefront in part because regulators plowed the way. Regulators plowed the way with a fistful of "subsidies" guaranteeing it access to public markets. Soon after it launched as an ECN – a whole category of subsidy, by the way – it started quoting through the then-smallest exchanges in the NMS, long before it became an exchange itself.¹ If the terms of its petition were in force back then, its quotes on those tiny exchanges could have legally been ignored, which is now exactly what it wants the SEC to allow it to do to its smaller competitors.

The most charitable way to describe this part of the petition is that it's a little forgetful of the company's own past. Its quotes on those tiny exchanges couldn't legally be ignored, and the firm competed and grew with the help of that regulatory "subsidy" protecting them. Without a rulebook full of regulatory subsidies of one kind or another, in the free-for-all marketplace apple-cheeked Randians dream about, large incumbent exchanges would have strangled that business in its storefront's vestibule.

Every pro-competitive regulatory intervention is a regulatory subsidy, so a phrase critics intend as an indictment is empty rhetoric. Reg NMS has done what it set out to do, and its continuing relevance is obvious. In the exchange market, trading market shares, lop-sided until Reg NMS was implemented, are far more evenly distributed among major exchange groups than before, something you might expect in this commoditized industry, and while there are a couple of very small exchanges and may soon be another (IEX), processing their quotes can hardly be any material burden to their billion dollar competitors.

The fragmentation complexity monster

Just before Reg NMS rolled out there were ten operating stock exchanges. Now there are eleven. Three exchanges of the ten predating Reg NMS have since shut down. Four exchanges have been created since Reg NMS and are still operating.

Many complain about market fragmentation and blame Reg NMS for it. Even the SEC seems to believe Reg NMS is at fault, or, at least, some commissioners seem to believe it. Among practitioners, the PTG, a lobbying group for high frequency trading firms, is not shy in blaming Reg NMS for "excessive market fragmentation." The PTG recently tweeted "Trade-through rule has created significant growth in the number of exchanges in the market and hundreds of order types," apparently believing the net increase in exchanges from ten to eleven since Rule 611 implementation counts as significant growth.

It's an uninformed opinion, but coming from one of the industry's preeminent trade groups we should take notice. Some very well-educated and rigorous quantitative talents are members of the PTG. The group believes in data, in economic reasoning, in hard evidence, and in particular the PTG regularly insists regulatory efforts "should be supported by solid empirical evidence and rigorous economic analysis." Its European cousin, the FIA European Principal Traders Group ("EPTG"), is of the same mind about regulation, its chairman having once cautioned regulators against "basing regulations on evidence that is merely anecdotal."

So it's pretty funny to see these same crowds turn around and fault Reg NMS for all sorts of ills without any evidence at all, without so much as a footnote. That tweet about "significant growth in the number of exchanges" is just one example. There isn't any evidence either in a white paper the PTG recently put out

¹ See "BATS to Quote on ISE and NSX," Business Wire, August 29, 2007.

advocating repeal of Rule 610 and Rule 611. In that white paper the PTG asserts that Rule 611 has led to “dramatic growth in the number of exchanges and other trading venues in recent years” but offers absolutely nothing to support its claim. A net increase of one exchange is dramatic growth?

Digging deeper, the four new exchanges born since Reg NMS evolved from two ECNs, each of which split in two to deploy different maker/taker models. It's much more plausible to say maker/taker pricing and its inverse led to too many exchanges, or that we have too many exchanges because the order handling rules created ECNs and at a certain size they found exchange economics too attractive to ignore, or that we have too many exchanges because technology makes it easier than ever to create a new exchange. It's also pretty funny that all four of these new exchanges belong to the very same exchange group now petitioning the SEC to exclude its smaller competitors from Reg NMS protection, complaining the market's too complex. It owns every exchange created since Reg NMS and then grumps about how the market's more complex after Reg NMS? Now *that's* comedy.

There certainly has been a proliferation of dark pools since Reg NMS but it's a coincidence. According to the SEC, by 2002 there were already ten registered ATSEs trading NMS stocks, a creation rate of about 3.3 per year from the date Reg ATS became effective, well before Reg NMS. At that rate going forward we would expect about 33 ATSEs trading NMS stocks by 2009, and according to the SEC there were 32. By 2013 we would expect about 46, and according to the SEC there were 44. Whatever's driving ATS growth seems to be quite consistent over the last 15 years and has nothing to do with Reg NMS.²

In other words, based on the evidence it's not true Reg NMS caused market fragmentation. Fragmentation already existed. It might come from the order handling rules, Reg ATS, exchange economics, the dispersion of matching system technology, maker/taker pricing, or other factors, but no evidence points at Reg NMS, though that doesn't stop rent-seeking pleas from a high frequency trading lobby (more on that below) and a comical exchange petition.

The order type complexity monster

Another reason there are calls to repeal Rule 610 and Rule 611 is the staggering number of order types market centers have created. There are thousands of order type and order modifier combinations, from vanilla day-only limit orders to reserve orders, discretionary orders, pegged orders, add liquidity-only orders, hidey-slidey orders, and who-knows-what-else. Repeal proponents maintain that so much of this is because of Reg NMS, and say if Rule 610 and Rule 611 were repealed the order type menu would shrink to a much more manageable size. Our friends at the PTG say Reg NMS is responsible for “hundreds of order types” and its repeal would reduce the need for them. Here too the PTG offers no evidence for its assertions. That's because there's not much evidence for them other than the certain fact that if ISO orders are eliminated we won't have ISO orders. And there are plenty of reasons to believe order type complexity remains or gets worse.

In the last 15 or 20 years order type complexity has mainly evolved from routing practices, maker/taker pricing, order flow segmentation, queue position strategies, and the deployment of order management functions in matching engines.

² See “Regulation of Non-Public Trading Interest,” Release No. 34-60997, File No. S7-27-09 (2009), “Concept Release on Equity Market Structure,” Release 34-61358, File S7-02-10 (2010), and “Alternative Trading Systems: Description of ATS Trading in National Market System Stocks,” Tuttle (2013).

Reg NMS mandated routing practices but parts of the industry were well along that path because of customer demand and competitive pressures. For exchanges which had already built a “best price” routing model, Reg NMS was a trivial extension. For exchanges which hadn’t, or which had done it haphazardly, Reg NMS forced the point, which was indeed the point. Now that displayed market centers have best price routing models, even if Reg NMS is repealed market centers won’t necessarily eliminate those functions because now there are constituencies for different kinds of routing behavior. If a participant’s order is marketable against away markets, there are constituencies for routing the order but also for cancelling it, for hiding it off the book until it won’t lock or cross, for hiding it off the book until it’s marketable against the book, for repricing it to neither lock or cross, and for who knows what else. Not one of these constituencies goes away anytime soon if Rule 610 and Rule 611 are repealed.

Instead, more constituencies will pop up. To an already long list we will see constituencies for locking or crossing away markets, for repricing an order to lock if it crosses, or even for hiding an order until it locks, among others. Order type complexity actually gets *worse* as constituencies form for different kinds of once-prohibited intermarket behavior, including for locks and crosses and discriminatory routing practices that pick and choose between friendly market centers and unfriendly ones.

Order type complexities built around maker/taker pricing won’t go away either; there are constituencies that want to get paid and constituencies that don’t mind paying. Order flow segmentation complexities don’t go away; we’ll still have directed orders and retail liquidity programs. Order management functions stay around too, with reserve orders and discretionary orders and random reserves and pegged orders and pegged with offset orders and more.

The only way order type complexity reduces with repeal is if market centers stop routing out and the National Market System reverts to 1960s-era silos, and while there is no doubt a self-interested constituency for those silos, this can’t be what the SEC, Congress, or the public wants.

What does repeal simplify other than to eliminate ISOs? If exchanges don’t fall back into silos, all we will have accomplished is to add more complexities when an order locks or crosses and clear the way for discriminatory routing tables, while tossing decades-old pro-investor public policy out the window. If exchanges do retreat into silos, we will have also wholly undone more than 40 years of effort in the public interest.

Money for nothing

Nothing so whets the appetite of a high frequency firm as the idea of crossed markets and the riskless profits clearing them. Under Reg NMS an investor with a limit order priced through away markets at least has a chance of capturing better prices, but if Rule 610 and Rule 611 are repealed and that investor’s order is posted instead of routed, high frequency firms will race to pick him off. In that way one of the last remaining constraints on HFT is from exchange routing brokers, so the industry no doubt hopes to make them fade away. To do that, Reg NMS has to go.

If it does, an already counterproductive and wasteful HFT speed arms race explodes. Since research shows that the HFT industry is already heavily biased in favor of large incumbents in a “winner-take-all industry structure”³ Reg NMS repeal will act as little more than a gift to the largest and fastest HFT firms, one that costs investors penny-for-penny whatever pennies those firms collect. Profits will certainly bloom for HFT, at

³ “Risk and Return in High Frequency Trading,” Baron, Brogaard, Kirilenko (2014).

least until the exchanges realize how much more valuable their co-location and direct data feed services are and raise prices.

What about locked markets? The complexity argument is silly enough, and sillier still if anyone thinks allowing locked markets but prohibiting crossed markets changes anything. If locked markets are allowed but crossed markets remain prohibited, whatever order types and procedures are in place to handle locked and crossed markets will have to stay in place to handle crossed markets. And locked markets will hurt investors too.

Investors reasonably expect displayed orders at the same price to trade. An investor who first displays a competitive bid or offer should be rewarded with a fill against any later contra at his price. That principle encourages displayed orders, clears markets, and is a drag on rebate gaming. About this the SEC once wrote, "Often, the locking market participant is not truly willing to trade at the displayed locking price, but instead chooses to lock rather than execute against the already-displayed quotation to receive a liquidity rebate....When two market participants are willing to trade at the same quoted price, giving priority to the first-displayed automated quotation will encourage posting of quotations and contribute to fair and orderly markets." One way to reflect on this is to wonder whether if we allow locks across markets, we won't also allow locks within a market, and then imagine what that will do to investor perceptions. And if we don't allow displayed bids and offers at the same market to lock, why won't we? What's the difference?

The SEC also once wrote, "The Commission agrees that strengthened protection of displayed limit orders would help reward market participants for displaying their trading interest and thereby promote fairer and more vigorous competition among orders seeking to supply liquidity. Moreover, strong intermarket price protection offers greater assurance, on an order-by-order basis, that investors who submit market orders will receive the best readily available prices for their trades." To the larger policy matter, the SEC quite directly said, "The basic principle underlying the NMS is to promote fair competition among markets, but within a system that also promotes interaction between all of the buyers and sellers in a particular NMS stock. Allowing market participants simply to ignore accessible quotations in other markets and routinely display locking and crossing quotations is inconsistent with this principle," which is exactly right.

Sincerely,

R. T. Leuchtkafer